The $100M GovCon Exit Playbook

Building a government contracting company that can command approximately $100 million of enterprise value

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Status: Strategic planning document — review with qualified legal, tax, accounting, government-contracting, and M&A advisers before implementation.

> **Important disclaimer:** I am not a licensed financial adviser, attorney, tax professional, or government-contracting compliance specialist. This playbook is strategic analysis, not guaranteed financial advice or formal legal advice. A $100M enterprise value is an objective to engineer toward, not a promise of outcome; valuation, transaction structure, tax treatment, contract transferability, and regulatory consequences must be confirmed by qualified advisers.

Executive thesis

A $100M GovCon exit is not primarily a revenue goal. It is a **quality-of-earnings, contract-risk, growth-visibility, and buyer-fit goal**. The company must become valuable to a strategic acquirer or institutional investor because it owns repeatable capabilities, durable customer access, credible contract backlog, strong compliance, and a management team that can operate without the founder.

The federal government committed approximately **$793 billion** on contracts in fiscal year 2025, according to the U.S. Government Accountability Office.[1] That scale creates a large addressable market, but size alone does not create exit value. Buyers pay for a defensible share of that market that can be converted into profitable, auditable cash flow.

The core equation is:

> **Enterprise value = normalized adjusted EBITDA × exit multiple**

For planning purposes, this playbook uses a base case of $\mathbf{8.0}Mnormalizedadjusted EBITDAata\mathbf{12.5}\times exitmultiple**,producingapproximately**\mathbf{100M}$ **of enterprise value**. The multiple is a planning assumption rather than a quoted market guarantee. A company with more concentration, weaker backlog, poor compliance, or founder dependence may receive a lower multiple; a company with differentiated technology, prime-contract control, diversified customers, strong funded backlog, and institutional-grade governance may attract a higher multiple.

Exit case	Illustrative exit multiple	Required normalized adjusted EBITDA	Revenue at 15% EBITDA margin	Revenue at 18% EBITDA margin
Conservative	10.0×	$10.0M	$66.7M	$55.6M

Exit case	Illustrative exit multiple	Required normalized adjusted EBITDA	Revenue at 15% EBITDA margin	Revenue at 18% EBITDA margin
Base	12.5×	$8.0M	$53.3M	$44.4M
Premium	15.0×	$6.7M	$44.4M	$37.0M

The recommended strategy is **not** to plan around the premium multiple. The stronger operating plan is to build toward at least **$8M–10M of high-quality EBITDA**, while making the company capable of earning a 12.5×–15.0× outcome through reduced risk and differentiated capability. That creates valuation resilience if market conditions, buyer appetite, or contract timing are less favorable than expected.

The $100M value architecture

What buyers are actually buying

A GovCon buyer is acquiring a bundle of future cash flows and strategic options. The bundle normally includes customer relationships, contract vehicles, past performance, cleared or scarce talent, technical IP, delivery systems, bid pipeline, teaming relationships, compliance infrastructure, and the ability to win and execute work at an attractive margin.

RSM describes the contract waterfall as a central valuation tool because it maps projected revenue and cash flow contract by contract, while distinguishing backlog, recompetes, and new business.[2] The exit plan should therefore be built from the contract level upward rather than from a top-down revenue aspiration.

Value component	What increases value	What destroys value
Revenue quality	Funded backlog, recurring task orders, high renewal visibility, prime status	Unfunded pipeline presented as backlog, one-off projects, weak customer access
Growth	Repeatable capture engine, multiple agencies, adjacent capabilities, credible bid calendar	Founder-led selling, unsupported pipeline, dependence on one recompete
Margin	Disciplined indirect rates, pricing control, delivery productivity, mix of differentiated work	Margin volatility, underpriced fixed-price work, unapproved add-backs
Strategic fit	Capability or vehicle that fills a buyer gap, cleared talent, technical IP	Commodity labor with no differentiation or strategic scarcity
Compliance	Clean timekeeping, indirect-rate support, accurate	DCAA/DCMA findings, defective pricing exposure, labor mischarging, cyber gaps

Value component	What increases value	What destroys value
	cost allocation, documented controls	
Transferability	Assignable contracts, consent plan, clean ownership and affiliation analysis	Change-of-control surprises, novation risk, SBA status loss, contract restrictions
Management	Second layer of leaders, independent finance, capture, delivery, HR, and compliance	Founder is sole rainmaker, contract manager, or keeper of institutional knowledge

The target exit profile

The following target profile is designed to make the business legible to strategic acquirers, lower-middle-market private equity firms, and specialized GovCon investors.

Dimension	Target profile at exit
Enterprise value	Approximately $100M
Normalized adjusted EBITDA	$8M base target; $10M downside-protection target
Revenue	Approximately $45M–65M, depending on sustainable margin
EBITDA margin	15%–18% normalized, with contract-level proof
Revenue growth	15%–25% CAGR during the build period, without sacrificing delivery quality
Funded backlog	At least 12 months of visible revenue; preferably 18–24 months for the core business
Backlog coverage	Funded backlog plus high-confidence option/recompete revenue should cover a substantial portion of the next 24 months; label each category separately
Customer concentration	No single customer or contract should create an unacceptable cliff; set explicit thresholds and disclose exceptions
Prime/subcontract mix	Increasing prime or directly controlled work; subcontract dependence should be deliberate and priced
Contract mix	A balanced mix of time-and-materials, cost-reimbursable, and fixed-price work with documented risk controls

Dimension	Target profile at exit
Pipeline	Qualified pipeline tied to named vehicles, agencies, procurement dates, incumbency, bid/no-bid decisions, and probability-weighted value
Compliance	No unresolved material compliance issue; documented policies, training, testing, remediation, and evidence
Founder dependence	Founder is strategic chair or executive sponsor, not a single point of failure
Finance	Monthly close, contract profitability, indirect-rate reporting, cash forecasting, and QoE-ready records
Cybersecurity	Contract-appropriate controls, incident history, assessment status, and remediation evidence
Exit readiness	Virtual data room, buyer narrative, management presentation, quality-of-earnings bridge, contract waterfall, and consent map

The strategic choice: what kind of GovCon should reach $100M?

The highest-probability path is a **focused, technology-enabled government services platform** rather than a broad generalist contractor. The company should own a narrow mission problem in which technical capability, past performance, talent, and delivery credibility reinforce one another.
A practical positioning statement is:

> **We deliver mission-critical [cyber / cloud / data / digital modernization / intelligence / program support] outcomes for [two or three target agencies], combining a differentiated technical capability with repeatable delivery, measurable performance, and a compliant operating system.**

The company should select one primary wedge and two adjacent expansion lanes. For example, a cyber and cloud modernization firm could expand into zero trust implementation, data engineering, and managed mission operations. The adjacent lanes should share customers, talent, contract vehicles, past performance, and capture intelligence. Random diversification should be rejected because it increases operating complexity without necessarily improving strategic value.

Selection scorecard

Score each target niche from 1 to 5 and require a documented rationale. The goal is not to find the largest category; it is to find the category where the company can become unusually credible.

Criterion	Weight	Question
Mission urgency	20%	Is the agency problem funded, important, and persistent across administrations?
Differentiation	20%	Can the company demonstrate a capability that is hard to replicate?
Margin potential	15%	Can the work support a durable margin after fully loaded labor and indirect costs?
Contract access	15%	Can the company win prime or meaningful controlled work through vehicles and teaming?
Talent scarcity	10%	Are the required skills scarce enough to create defensibility?
Customer adjacency	10%	Can one win create credible expansion into related agencies or missions?
Exit buyer interest	10%	Is the niche likely to fill a capability gap for strategic or financial buyers?

The company should not scale a niche that scores well on demand but poorly on differentiation, margin, and buyer interest. A large market with low barriers to entry can produce revenue but not necessarily an attractive exit.

The value-creation roadmap

Phase 1: Foundation and focus — months 0–12

The first phase converts an entrepreneurial operation into an investable platform. The immediate objective is not maximum growth; it is **truth, focus, and control**.

Management should establish a contract-by-contract revenue and gross-margin model; separate funded backlog, unfunded backlog, options, recompetes, and new-business pipeline; identify every contract's prime/sub status and change-of-control implications; and create a monthly operating review. The business should also define its target agencies, mission wedge, core contract vehicles, and bid/no-bid rules.

The company should implement a finance stack that can produce a monthly close by day 15 or earlier, with reconciled revenue, labor, indirect costs, contract profitability, accounts receivable, accounts payable, cash, backlog, and pipeline. Any EBITDA adjustment expected to be presented to a buyer should be documented contemporaneously rather than invented during a sale process.

Phase 1 gates:

Gate	Minimum standard
Financial truth	Monthly close, reconciled job-cost data, and a repeatable EBITDA bridge
Contract truth	Contract waterfall with funded, option, recompete, and new-business labels
Strategic focus	One primary niche, two adjacent lanes, and a named target-agency map
Compliance baseline	Timekeeping, labor classification, purchasing, ethics, cybersecurity, and records policies assessed
Leadership map	Named owners for delivery, finance, contracts, capture, HR, security, and compliance
Founder-risk map	Every founder-dependent activity has an owner, process, and backup

Phase 2: Repeatable growth — months 12–30

The second phase builds a repeatable capture and delivery engine. The business should pursue growth that increases both EBITDA and the quality of future cash flows. Each pursuit should have an accountable capture lead, customer and incumbent map, contract-vehicle strategy, partner plan, price-to-win logic, staffing plan, and risk-adjusted economics.

The company should prioritize anchor wins that create **referenceability**. A contract that allows the company to demonstrate measurable mission outcomes can be more valuable than a larger but undifferentiated award. The aim is to create a portfolio in which each win makes the next win easier.

Growth should be financed through disciplined working-capital management. Government receivables may be high quality, but payroll and subcontractor obligations create timing pressure. Management should maintain a cash forecast, borrowing-base or bankability view where appropriate, and a plan for ramp costs on new awards.

Phase 2 gates:

Gate	Minimum standard
Growth	Sustained organic growth with no material delivery-quality deterioration
EBITDA	Positive and improving EBITDA with contract-level evidence
Capture	Qualified pipeline at a multiple of the annual new-business target, with probability weighting
Customers	At least two meaningful agency or mission relationships; no hidden single-customer cliff

Gate	Minimum standard
Delivery	Repeatable staffing, quality, security, and performance-management process
Talent	Recruiting and retention system for scarce skills; bench and utilization monitored

Phase 3: Platform scale — months 30–48

The third phase turns the company into a platform that can support institutional capital or a strategic combination. Management should consider selective tuck-in acquisitions only when they add a capability, contract vehicle, customer, geography, clearance footprint, or technical IP that the core company cannot build faster or more cheaply.

Every acquisition should be evaluated on a **risk-adjusted EBITDA and contract-transfer basis**, not on revenue. A target with attractive revenue but weak compliance, poor timekeeping, or uncertain contract eligibility can reduce rather than increase exit value.

At this stage, the founder should transition from primary operator to capital allocator, culture leader, and strategic relationship owner. The company should hire or promote an experienced CFO/controller, head of contracts, head of growth/capture, and operational leader with authority to make decisions.

Phase 3 gates:

Gate	Minimum standard
Scale	$35M–50M revenue range, subject to margin and contract quality
Profitability	$5M–7M normalized adjusted EBITDA trajectory
Platform	Repeatable delivery and capture processes across multiple programs
Management	Founder is no longer a single point of failure
M&A discipline	Acquisition playbook, integration owner, and post-close scorecard
Buyer narrative	Clear explanation of why the company wins and why a buyer can scale it

Phase 4: Exit positioning — months 48–60+

The final phase is a controlled transition from operating mode to transaction mode. The company should preserve growth while preparing for diligence. It should avoid artificial changes that make the business look better for one quarter but create quality-of-earnings risk later.

A sell-side adviser should be selected only after the company has a coherent story, clean data, and a realistic buyer universe. The adviser's role is to create competitive tension and manage process; the adviser cannot compensate for weak contract economics or unresolved compliance risk.

Phase 4 gates:

Gate	Target
EBITDA	$8M base target; $10M preferred protection target
Multiple readiness	Evidence supporting a 12.5× base case and a credible premium case
Backlog	Clear funded backlog and contract waterfall with source documentation
Diligence	Data room substantially complete before broad buyer outreach
Management	Buyer-ready management team that can present without founder overreliance
Transaction	Buyer list, teaser, CIM, management presentation, bid calendar, and negotiation strategy

The operating scorecard

The company should run one integrated scorecard rather than separate finance, capture, and delivery reports. The scorecard should show leading indicators before they become valuation problems.

Category	KPI	Management question
Revenue quality	Funded backlog / next-12-month revenue	How much of next year is already supported by awarded work?
Revenue quality	Prime revenue percentage	How much customer control does the company actually possess?
Growth	Book-to-bill	Is the company replacing revenue faster than it consumes backlog?
Growth	Qualified pipeline coverage	Is the pipeline real, timed, resourced, and probability-adjusted?
Growth	Win rate by stage and vehicle	Where does the capture process break down?
Customer	Top-5 customer concentration	What happens if the largest program is lost or delayed?
Contract	Recompete exposure	Which revenue cliffs occur within 12, 24, and 36 months?

Category	KPI	Management question
Margin	EBITDA margin by contract	Which programs create or destroy value?
Margin	Direct labor utilization	Is growth being converted into productive revenue?
Delivery	CPARS and customer-performance indicators	Can the company prove quality to a buyer?
People	Voluntary regretted attrition	Are scarce capabilities leaving faster than they can be replaced?
Cash	DSO and operating cash conversion	Is profit turning into cash without excessive working capital?
Compliance	Open findings and remediation age	Is any issue becoming a buyer retrade or indemnity?
Founder risk	Critical processes with documented backups	Can the company operate if the founder is unavailable?

GovCon-specific value drivers and risk controls

Contract waterfall discipline

The waterfall should be maintained at the contract and task-order level. Each line should include customer, agency, prime/sub status, contract vehicle, period of performance, funded amount, remaining ceiling, current-year revenue, option-year revenue, recompete date, incumbent status, win probability, gross margin, EBITDA contribution, and transfer or consent requirements.

RSM's framework distinguishes backlog as awarded work, recompetes as incumbent follow-ons with greater uncertainty, and new business as the highest-risk category.2 The company should never present these categories as though they carry the same valuation weight.

Customer and program concentration

Concentration should be managed through thresholds, not vague intentions. A practical policy is to set internal limits for the largest contract, largest agency, largest prime partner, and largest individual program. The exact thresholds should reflect the company's market and contract structure, but exceptions must be explicitly priced into the exit plan.

The objective is not to eliminate concentration immediately. Some GovCons must begin with an anchor program. The objective is to **use the anchor to create adjacent past performance and customer relationships before the anchor becomes a valuation cliff**.

Prime control and teaming

Prime work generally gives the company greater control over customer relationships, delivery, pricing, and recompete positioning than subcontract work. Subcontracting can be strategically attractive when it

provides access, scale, or a path to past performance, but the company should know what it controls and what it does not.

Every material subcontract relationship should have a documented dependency analysis covering customer visibility, exclusivity, termination rights, pricing, data rights, flow-down clauses, and the risk that the prime can replace the company.

Contract mix and margin quality

RSM notes that time-and-materials, cost-reimbursable, and fixed-price structures create different levels of contractor risk and margin control.[2] The company should not chase fixed-price volume without the estimating, delivery, change-control, and program-management discipline required to protect margin.

Management should maintain a contract-margin bridge that separates price, labor mix, utilization, indirect rates, subcontractor costs, scope change, and one-time events. Buyers will test whether historical EBITDA is repeatable under the actual contract mix.

Small-business status and recertification

Small-business status must be treated as a transaction-critical asset and risk. PilieroMazza reports that, under the post-January 17, 2026 framework described in its January 2026 analysis, a change in control can trigger recertification consequences that may permit completion of existing orders while restricting eligibility for future small-business set-aside task orders, with vehicle-specific effects.[3]

The company should map revenue and pipeline by socioeconomic program, contract vehicle, size standard, set-aside status, and post-transaction eligibility. Do not assume that a buyer can acquire the company and preserve every future opportunity. This analysis can alter buyer selection, deal structure, valuation, and timing.

Cybersecurity and data rights

Cybersecurity diligence should begin before a sale process. The company should inventory systems, data types, contract requirements, access controls, incident history, third-party risk, assessment status, remediation plans, and evidence of compliance. A buyer will not view cyber risk as an IT-only issue if it affects eligibility, contract performance, indemnity, or reputation.

The $100M financial blueprint

Revenue and EBITDA architecture

The base plan should be built from contract-level economics and then aggregated into a five-year operating model. The model should include revenue by contract, labor category, direct labor, subcontractors, other direct costs, indirect rates, gross profit, SG&A, EBITDA, working capital, capital expenditures, and cash conversion.

A simplified base case can use the following architecture, subject to replacement with actual company data:

Year	Revenue	EBITDA margin	EBITDA	Primary objective
Year 1	$12M–18M	8%–10%	$1.0M–1.8M	Establish control and repeatability

Year	Revenue	EBITDA margin	EBITDA	Primary objective
Year 2	$20M–28M	10%–12%	$2.0M–3.4M	Add anchor wins and improve delivery
Year 3	$30M–40M	12%–14%	$3.6M–5.6M	Build platform and management depth
Year 4	$40M–52M	14%–16%	$5.6M–8.3M	Scale profitable growth
Year 5	$45M–65M	15%–18%	$6.8M–11.7M	Exit readiness and value maximization

This is a planning scaffold, not a forecast. The model must be rebuilt with actual awards, staffing, pricing, indirect rates, and cash needs. Revenue growth without contract-level margin control should be treated as a risk signal, not automatically as value creation.

EBITDA normalization

The adjusted EBITDA bridge should be conservative and buyer-defensible. Potential adjustments may include documented one-time transaction costs, clearly non-recurring litigation or remediation expenses, and owner-specific expenses that will not continue after closing. Personal expenses, family payroll, discretionary travel, and founder compensation should not be treated as automatically add-backs; each must be documented and tested for whether a buyer will incur a replacement cost.

The company should maintain a **monthly add-back register** with description, amount, accounting treatment, recurrence assessment, supporting invoice or payroll record, and adviser review status. Unsupported add-backs are a common source of purchase-price retrade.

Valuation bridge and sensitivity

The board should monitor value using a range rather than a single point estimate.

Normalized EBITDA	10.0×	12.5×	15.0×
$6.7M	$67M	$84M	$100M
$8.0M	$80M	$100M	$120M
$10.0M	$100M	$125M	$150M

The most important management insight is that **quality can move both the numerator and the multiple**. A 20% improvement in EBITDA and a 20% improvement in the multiple do not create a 20% increase in value; they compound. Conversely, a compliance issue or contract cliff can reduce EBITDA and multiple simultaneously.

Capital allocation and acquisitions

The company should prioritize organic growth until its core operating system is reliable. Debt or outside equity should be used to accelerate a proven engine, not to conceal weak delivery economics. Capital allocation should follow this order: protect contract performance and compliance; fund high-return hiring and capture; build cash reserves; then pursue acquisitions that add strategic capability.

A suitable tuck-in target should meet most of the following conditions: it adds a differentiated capability; brings customers or vehicles the core business can realistically retain; has clean or remediable compliance; improves prime access or customer control; can be integrated without destabilizing delivery; and offers a credible path to margin improvement.

The acquisition thesis should be measured at 100 days, 12 months, and 24 months. If the target does not improve the company's strategic position or EBITDA quality, the transaction should be rejected regardless of seller enthusiasm.

Exit readiness and diligence architecture

CohnReznick's GovCon M&A guidance emphasizes financial, tax, IT/cybersecurity, regulatory-compliance, human-capital, legal, contract-waterfall, and cultural diligence.[4] The company should prepare these workstreams before hiring an adviser or approaching buyers.

Data-room structure

Folder	Required contents
Corporate	Organizational chart, capitalization, governance, board materials, subsidiaries, ownership history
Financial	Monthly financials, audited or reviewed statements, budgets, forecasts, EBITDA bridge, bank statements, debt, working capital
Contracts	Prime and subcontracts, modifications, task orders, clauses, options, funding, ceilings, consent and novation analysis
Backlog and pipeline	Contract waterfall, pipeline, capture plans, bid calendar, probability methodology, recompete map
Customers	Agency and program map, customer references, CPARS or performance records, concentration analysis
Compliance	Policies, training, audits, findings, corrective actions, ethics, timekeeping, labor categories, indirect rates
Security and cyber	System inventory, SSPs or equivalent artifacts where applicable, incidents, assessments, remediation, data-flow maps

Folder	Required contents
People	Employee census, compensation, benefits, key-person risks, retention, clearances, recruiting, subcontractor labor
Tax	Returns, sales/use tax, payroll, credits, nexus, examinations, positions, deferred tax items
Legal	Claims, disputes, IP, data rights, insurance, licenses, related-party transactions
M&A	Prior LOIs, acquisitions, integration records, consents, change-of-control matters

Red-flag list

A red flag should be surfaced early, assigned to an owner, quantified, and either remediated or priced. The most dangerous issues are those that affect both future revenue and buyer confidence.

Red flag	Likely buyer response
Unclear funded versus unfunded backlog	Discount forecast, narrow earnout metrics, or reduce price
Contract or task-order transfer restriction	Delay, require consent, restructure, or exclude revenue
Heavy dependence on one recompete	Lower multiple, escrow, earnout, or contingent consideration
Weak timekeeping or cost allocation	QoE adjustment, indemnity, remediation, or potential government exposure
Unsupported EBITDA add-backs	Remove adjustments and reduce purchase price
Small-business status uncertainty	Re-underwrite pipeline and future eligibility
Cybersecurity gaps or undisclosed incident	Escrow, indemnity, remediation condition, or walk-away
Founder is sole customer relationship	Retention condition, rollover equity, or lower valuation
Poor CPARS or customer performance	Reduce confidence in renewal and growth assumptions
Fixed-price overruns	Margin normalization and contract-by-contract haircut

Buyer strategy

The buyer universe should be segmented by what the buyer needs, not merely by who has money.

Buyer type	Why it may buy	What it will scrutinize
Strategic prime	Adds capability, customers, vehicles, talent, or past performance	Integration, customer overlap, antitrust, contract transfer, margin fit
GovCon platform company	Adds scale and adjacent mission capability	EBITDA quality, backlog, management, operating leverage
Specialized private equity	Builds a platform or backs a management team	Growth, cash conversion, leverage, add-on potential, governance
Family office or permanent capital	Long-term ownership and founder continuity	Durable cash flow, leadership, downside protection
Sponsor-backed consolidator	Uses buy-and-build model	Integration speed, standardization, recurring acquisition pipeline

CohnReznick's panel-based guidance identifies management depth, unique technical capability, and concentrated but strong backlog as attractive target attributes.[4] The seller should therefore present the company as a **strategic capability platform**, not as a founder's collection of contracts.

Process design

A disciplined process should include: adviser selection; buyer-universe construction; anonymous teaser; confidentiality agreements; controlled data-room access; management presentations; first-round indications; confirmatory diligence; final bids; selection based on value, certainty, structure, and fit; definitive agreement; consents and approvals; closing; and transition.

The highest headline price is not always the best outcome. Compare offers on expected value after probability of closing, escrow, rollover equity, earnout risk, debt-like items, working-capital peg, indemnities, tax leakage, and founder time. The company should prefer clean, well-funded bids with clear regulatory and contract-transfer plans over a headline price dependent on ambiguous earnouts.

Negotiation principles

The seller should negotiate from evidence. Every important claim—backlog, pipeline, margin, customer relationship, contract vehicle, clearance, technical differentiation, and growth plan—should have a source document and an accountable executive who can explain it.

The seller should avoid overstating pipeline, hiding contract cliffs, or presenting option years as funded backlog. Credibility is itself a transaction asset. A buyer that discovers one material misrepresentation will re-test every other claim.

The preferred structure is a high-cash-at-close transaction with limited, clearly defined escrow and a rollover or earnout only where it creates meaningful alignment. If an earnout is unavoidable, define the metric, accounting rules, budget authority, staffing obligations, acquisition treatment, reporting rights, dispute mechanism, and buyer conduct covenant before signing. CohnReznick specifically cautions that earnout metrics can become messy when buyer and seller interests diverge.[4]

Founder transition plan

Founder dependence is one of the most preventable valuation discounts. Starting at least 24 months before a target sale, the founder should document key relationships, delegate operating authority, introduce successors to customers and partners, and stop being the only person who can approve bids, solve delivery escalations, or explain financial performance.

The founder's desired post-close role should be designed deliberately. Options include a defined transition period, board or strategic-adviser role, retained minority equity, or a clean exit. The best structure depends on personal goals, buyer requirements, tax planning, and customer continuity. It should not be improvised after the first buyer bid.

90-day action plan

Days 1–30: Establish truth

Create the contract waterfall, normalize the chart of accounts, reconcile monthly financials, identify founder-dependent activities, map agency and customer concentration, and conduct a preliminary contract-transfer and small-business-status review. Select owners for finance, contracts, compliance, capture, delivery, and cyber.

Days 31–60: Establish focus

Choose the primary mission wedge and adjacent lanes. Define the target-agency map, customer-development plan, bid/no-bid rules, pipeline stages, and contract-level margin reporting. Begin a compliance remediation register and create the first board-level operating review.

Days 61–90: Establish momentum

Recruit or designate the next layer of leadership. Build the five-year operating model from contract-level assumptions. Produce a one-page buyer narrative, a risk register, and a preliminary value bridge. Decide whether the next 12 months should emphasize organic growth, a tuck-in acquisition, or operational cleanup.

Board-level decision rules

The board should approve growth only when the company can show contract-level economics, delivery capacity, cash requirements, and compliance readiness. It should reject revenue that creates unacceptable fixed-price, customer-concentration, or subcontractor dependency risk.

The company should not launch a sale process merely because it reaches a revenue milestone. It should launch when the **quality of earnings, backlog visibility, management depth, compliance posture, and buyer narrative** are all strong enough to withstand scrutiny.

The decisive question is:

> **If the founder disappeared for 90 days, would a sophisticated buyer still believe the company can win, deliver, collect cash, and remain compliant?**

If the answer is not yet yes, the highest-return "exit strategy" is to build the operating system that makes the answer yes.

References

End of playbook